



Develop and manage business strategies

D2.TRM.CL9.03

Trainer Guide



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Project Base

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Competency Based Training (CBT) and assessment – An introduction for trainers

Competency

Competency refers to the ability to perform particular tasks and duties to the standard of performance expected in the workplace.

Competency requires the application of specified knowledge, skills and attitudes relevant to effective participation, consistently over time and in the workplace environment.

The essential skills and knowledge are either identified separately or combined.

Knowledge identifies what a person needs to know to perform the work in an informed and effective manner.

Skills describe the application of knowledge to situations where understanding is converted into a workplace outcome.

Attitude describes the founding reasons behind the need for certain knowledge or why skills are performed in a specified manner.

Competency covers all aspects of workplace performance and involves:

- Performing individual tasks
- Managing a range of different tasks
- Responding to contingencies or breakdowns
- Dealing with the responsibilities of the workplace
- Working with others.

Unit of competency

Like with any training qualification or program, a range of subject topics are identified that focus on the ability in a certain work area, responsibility or function.

Each manual focuses on a specific unit of competency that applies in the hospitality workplace.

In this manual a unit of competency is identified as a 'unit'.

Each unit of competency identifies a discrete workplace requirement and includes:

- Knowledge and skills that underpin competency
- Language, literacy and numeracy
- Occupational safety and health requirements.

Each unit of competency must be adhered to in training and assessment to ensure consistency of outcomes.

Element of competency

An element of competency describes the essential outcomes within a unit of competency.

The elements of competency are the basic building blocks of the unit of competency. They describe in terms of outcomes the significant functions and tasks that make up the competency.

In this manual elements of competency are identified as an 'element'.

Performance criteria

Performance criteria indicate the standard of performance that is required to demonstrate achievement within an element of competency. The standards reflect identified industry skill needs.

Performance criteria will be made up of certain specified skills, knowledge and attitudes.

Learning

For the purpose of this manual learning incorporates two key activities:

- Training
- Assessment.

Both of these activities will be discussed in detail in this introduction.

Today training and assessment can be delivered in a variety of ways. It may be provided to participants:

- On-the-job – in the workplace
- Off-the-job – at an educational institution or dedicated training environment
- As a combination of these two options.

No longer is it necessary for learners to be absent from the workplace for long periods of time in order to obtain recognised and accredited qualifications.

Learning approaches

This manual will identify two avenues to facilitate learning:

Competency Based Training (CBT)

This is the strategy of developing a participant's competency.

Educational institutions utilise a range of training strategies to ensure that participants are able to gain the knowledge and skills required for successful:

- Completion of the training program or qualification
- Implementation in the workplace.

The strategies selected should be chosen based on suitability and the learning styles of participants.

Competency Based Assessment (CBA)

This is the strategy of assessing competency of a participant.

Educational institutions utilise a range of assessment strategies to ensure that participants are assessed in a manner that demonstrates validity, fairness, reliability, flexibility and fairness of assessment processes.

Flexibility in learning

It is important to note that flexibility in training and assessment strategies is required to meet the needs of participants who may have learning difficulties. The strategies used will vary, taking into account the needs of individual participants with learning difficulties. However they will be applied in a manner which does not discriminate against the participant or the participant body as a whole.

Catering for participant diversity

Participants have diverse backgrounds, needs and interests. When planning training and assessment activities to cater for individual differences, trainers and assessors should:

- Consider individuals' experiences, learning styles and interests
- Develop questions and activities that are aimed at different levels of ability
- Modify the expectations for some participants
- Provide opportunities for a variety of forms of participation, such as individual, pair and small group activities
- Assess participants based on individual progress and outcomes.

The diversity among participants also provides a good reason for building up a learning community in which participants support each other's learning.

Participant centred learning

This involves taking into account structuring training and assessment that:

- *Builds on strengths* – Training environments need to demonstrate the many positive features of local participants (such as the attribution of academic success to effort, and the social nature of achievement motivation) and of their trainers (such as a strong emphasis on subject disciplines and moral responsibility). These strengths and uniqueness of local participants and trainers should be acknowledged and treasured
- *Acknowledges prior knowledge and experience* – The learning activities should be planned with participants' prior knowledge and experience in mind
- *Understands learning objectives* – Each learning activity should have clear learning objectives and participants should be informed of them at the outset. Trainers should also be clear about the purpose of assignments and explain their significance to participants
- *Teaches for understanding* – The pedagogies chosen should aim at enabling participants to act and think flexibly with what they know
- *Teaches for independent learning* – Generic skills and reflection should be nurtured through learning activities in appropriate contexts of the curriculum. Participants should be encouraged to take responsibility for their own learning

- *Enhances motivation* – Learning is most effective when participants are motivated. Various strategies should be used to arouse the interest of participants
- *Makes effective use of resources* – A variety of teaching resources can be employed as tools for learning
- *Maximises engagement* – In conducting learning activities, it is important for the minds of participants to be actively engaged
- *Aligns assessment with learning and teaching* – Feedback and assessment should be an integral part of learning and teaching
- *Caters for learner diversity* – Trainers should be aware that participants have different characteristics and strengths and try to nurture these rather than impose a standard set of expectations.

Active learning

The goal of nurturing independent learning in participants does not imply that they always have to work in isolation or solely in a classroom. On the contrary, the construction of knowledge in tourism and hospitality studies can often best be carried out in collaboration with others in the field. Sharing experiences, insights and views on issues of common concern, and working together to collect information through conducting investigative studies in the field (active learning) can contribute a lot to their eventual success.

Active learning has an important part to play in fostering a sense of community in the class. First, to operate successfully, a learning community requires an ethos of acceptance and a sense of trust among participants, and between them and their trainers. Trainers can help to foster acceptance and trust through encouragement and personal example, and by allowing participants to take risks as they explore and articulate their views, however immature these may appear to be. Participants also come to realise that their classmates (and their trainers) are partners in learning and solving.

Trainers can also encourage cooperative learning by designing appropriate group learning tasks, which include, for example, collecting background information, conducting small-scale surveys, or producing media presentations on certain issues and themes. Participants need to be reminded that, while they should work towards successful completion of the field tasks, developing positive peer relationships in the process is an important objective of all group work.

Competency Based Training (CBT)

Principle of Competency Based Training

Competency based training is aimed at developing the knowledge, skills and attitudes of participants, through a variety of training tools.

Training strategies

The aims of this curriculum are to enable participants to:

- Undertake a variety of subject courses that are relevant to industry in the current environment
- Learn current industry skills, information and trends relevant to industry
- Learn through a range of practical and theoretical approaches
- Be able to identify, explore and solve issues in a productive manner

- Be able to become confident, equipped and flexible managers of the future
- Be 'job ready' and a valuable employee in the industry upon graduation of any qualification level.

To ensure participants are able to gain the knowledge and skills required to meet competency in each unit of competency in the qualification, a range of training delivery modes are used.

Types of training

In choosing learning and teaching strategies, trainers should take into account the practical, complex and multi-disciplinary nature of the subject area, as well as their participant's prior knowledge, learning styles and abilities.

Training outcomes can be attained by utilising one or more delivery methods:

Lecture/tutorial

This is a common method of training involving transfer of information from the trainer to the participants. It is an effective approach to introduce new concepts or information to the learners and also to build upon the existing knowledge. The listener is expected to reflect on the subject and seek clarifications on the doubts.

Demonstration

Demonstration is a very effective training method that involves a trainer showing a participant how to perform a task or activity. Through a visual demonstration, trainers may also explain reasoning behind certain actions or provide supplementary information to help facilitate understanding.

Group discussions

Brainstorming in which all the members in a group express their ideas, views and opinions on a given topic. It is a free flow and exchange of knowledge among the participants and the trainer. The discussion is carried out by the group on the basis of their own experience, perceptions and values. This will facilitate acquiring new knowledge. When everybody is expected to participate in the group discussion, even the introverted persons will also get stimulated and try to articulate their feelings.

The ideas that emerge in the discussions should be noted down and presentations are to be made by the groups. Sometimes consensus needs to be arrived at on a given topic. Group discussions are to be held under the moderation of a leader guided by the trainer. Group discussion technique triggers thinking process, encourages interactions and enhances communication skills.

Role play

This is a common and very effective method of bringing into the classroom real life situations, which may not otherwise be possible. Participants are made to enact a particular role so as to give a real feel of the roles they may be called upon to play. This enables participants to understand the behaviour of others as well as their own emotions and feelings. The instructor must brief the role players on what is expected of them. The role player may either be given a ready-made script, which they can memorise and enact, or they may be required to develop their own scripts around a given situation. This technique is extremely useful in understanding creative selling techniques and human relations. It can be entertaining and energising and it helps the reserved and less literate to express their feelings.

Simulation games

When trainees need to become aware of something that they have not been conscious of, simulations can be a useful mechanism. Simulation games are a method based on "here and now" experience shared by all the participants. The games focus on the participation of the trainees and their willingness to share their ideas with others. A "near real life" situation is created providing an opportunity to which they apply themselves by adopting certain behaviour. They then experience the impact of their behaviour on the situation. It is carried out to generate responses and reactions based on the real feelings of the participants, which are subsequently analysed by the trainer.

While use of simulation games can result in very effective learning, it needs considerable trainer competence to analyse the situations.

Individual /group exercises

Exercises are often introduced to find out how much the participant has assimilated. This method involves imparting instructions to participants on a particular subject through use of written exercises. In the group exercises, the entire class is divided into small groups, and members are asked to collaborate to arrive at a consensus or solution to a problem.

Case study

This is a training method that enables the trainer and the participant to experience a real life situation. It may be on account of events in the past or situations in the present, in which there may be one or more problems to be solved and decisions to be taken. The basic objective of a case study is to help participants diagnose, analyse and/or solve a particular problem and to make them internalise the critical inputs delivered in the training. Questions are generally given at the end of the case study to direct the participants and to stimulate their thinking towards possible solutions. Studies may be presented in written or verbal form.

Field visit

This involves a carefully planned visit or tour to a place of learning or interest. The idea is to give first-hand knowledge by personal observation of field situations, and to relate theory with practice. The emphasis is on observing, exploring, asking questions and understanding. The trainer should remember to brief the participants about what they should observe and about the customs and norms that need to be respected.

Group presentation

The participants are asked to work in groups and produce the results and findings of their group work to the members of another sub-group. By this method participants get a good picture of each other's views and perceptions on the topic and they are able to compare them with their own point of view. The pooling and sharing of findings enriches the discussion and learning process.

Practice sessions

This method is of paramount importance for skills training. Participants are provided with an opportunity to practice in a controlled situation what they have learnt. It could be real life or through a make-believe situation.

Games

This is a group process and includes those methods that involve usually fun-based activity, aimed at conveying feelings and experiences, which are everyday in nature, and applying them within the game being played. A game has set rules and regulations, and may or may not include a competitive element. After the game is played, it is essential that the participants be debriefed and their lessons and experiences consolidated by the trainer.

Research

Trainers may require learners to undertake research activities, including online research, to gather information or further understanding about a specific subject area.

Competency Based Assessment (CBA)

Principle of Competency Based Assessment

Competency based assessment is aimed at compiling a list of evidence that shows that a person is competent in a particular unit of competency.

Competencies are gained through a multitude of ways including:

- Training and development programs
- Formal education
- Life experience
- Apprenticeships
- On-the-job experience
- Self-help programs.

All of these together contribute to job competence in a person. Ultimately, assessors and participants work together, through the 'collection of evidence' in determining overall competence.

This evidence can be collected:

- Using different formats
- Using different people
- Collected over a period of time.

The assessor, who is ideally someone with considerable experience in the area being assessed, reviews the evidence and verifies the person as being competent or not.

Flexibility in assessment

Whilst allocated assessment tools have been identified for this subject, all attempts are made to determine competency and suitable alternate assessment tools may be used, according to the requirements of the participant.

The assessment needs to be equitable for all participants, taking into account their cultural and linguistic needs.

Competency must be proven regardless of:

- Language
- Delivery Method
- Assessment Method.

Assessment objectives

The assessment tools used for subjects are designed to determine competency against the 'elements of competency' and their associated 'performance criteria'.

The assessment tools are used to identify sufficient:

- a) Knowledge, including underpinning knowledge
- b) Skills
- c) Attitudes

Assessment tools are activities that trainees are required to undertake to prove participant competency in this subject.

All assessments must be completed satisfactorily for participants to obtain competence in this subject. There are no exceptions to this requirement, however, it is possible that in some cases several assessment items may be combined and assessed together.

Types of assessment

Allocated Assessment Tools

There are a number of assessment tools that are used to determine competency in this subject:

- Work projects
- Written questions
- Oral questions
- Third Party Report
- Observation Checklist.

Instructions on how assessors should conduct these assessment methods are explained in the Assessment Manuals.

Alternative assessment tools

Whilst this subject has identified assessment tools, as indicated above, this does not restrict the assessor from using different assessment methods to measure the competency of a participant.

Evidence is simply proof that the assessor gathers to show participants can actually do what they are required to do.

Whilst there is a distinct requirement for participants to demonstrate competency, there are many and diverse sources of evidence available to the assessor.

Ongoing performance at work, as verified by a supervisor or physical evidence, can count towards assessment. Additionally, the assessor can talk to customers or work colleagues to gather evidence about performance.

A range of assessment methods to assess competency include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals: slides, audio tapes
- Case studies
- Log books
- Projects
- Role plays
- Group projects
- Group discussions
- Examinations.

Recognition of Prior Learning

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

Also known as a Skills Recognition Audit (SRA), this process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Assessing competency

As mentioned, assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency. Traditionally in education, grades or marks were given to participants, dependent on how many questions the participant successfully answered in an assessment tool.

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- Pass Competent (PC)
- Not Yet Competent (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Competency standard

UNIT TITLE: DEVELOP AND MANAGE BUSINESS STRATEGIES		NOMINAL HOURS: 70
UNIT NUMBER: D2.TRM.CL9.03		
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to develop, manage and review business strategies to attain the stated objectives of the organisation		
ELEMENTS AND PERFORMANCE CRITERIA		UNIT VARIABLE AND ASSESSMENT GUIDE
Element 1: Identify the internal business environment 1.1 Identify and confirm <i>core features of the business</i> 1.2 Identify <i>marketing information</i> relevant to the current situation 1.3 Review <i>business performance information</i> 1.4 Identify <i>capabilities and resources</i> of the business 1.5 Identify <i>underperforming products and services</i> Element 2: Identify the external business environment 2.1 Identify <i>expected market share</i> 2.2 Identify <i>external factors impacting on the business</i>		Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment This unit applies to all organisations that develop, manage and review business strategies to attain the stated objectives within the labour divisions of the hotel and travel industries and may include: 1. Travel Agencies 2. Tour Operation <i>Core features of the business</i> may be related to: • Core activities • Products and services offered • Customer base • Business values • Current business direction • Mission statement.

2.3 Analyse <i>comparative market information</i> Analyse <i>industry and customer trends</i> 2.4 Analyse the <i>legal and ethical issues</i> in the market place Element 3: Define and implement business strategies 3.1 Formulate business objectives for individual <i>business units</i> 3.2 Review existing <i>business strategies</i> 3.3 Develop <i>business strategies</i> relating to established strategic objectives for the organisation 3.4 Communicate <i>business strategies</i> to relevant stakeholders Element 4: Review the effectiveness of business strategies 4.1 Review <i>established strategies</i> 4.2 Include multiple perspectives and <i>information sources</i> in determining the effectiveness of strategies 4.3 Evaluate the effectiveness of the strategies 4.4 Make <i>recommendations for enhancements to strategies and plans</i> Element 5: Manage risk associated with business strategies 5.1 Identify <i>risks associated with implementation of strategic plans</i>	<i>Identify marketing information</i> may include: • Classifying and analysing data • Considering primary and secondary data • Considering hard and soft data • Undertaking new market research where deemed necessary. <i>Business performance information</i> may be related to: • Sales and bookings • Profit • Cash flow • Trends • Market share • Business partnerships • Position in the marketplace • Image of the business • Identifying strengths and weaknesses of the business • Identifying critical success factors. <i>Capabilities and resources</i> may include: • Human resources • Financial resources • Equipment capacity • Staff skill levels • Hours of operation
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5.2 Access <i>information sources</i> in relation to identified risk 5.3 Assess <i>risk levels</i> 5.4 Develop written <i>operational risk management policy</i> 5.5 Develop written <i>operational risk management plans</i> 5.6 Develop written <i>operational contingency plans</i> 5.7 Communicate risk management strategies to stakeholders 5.8 Review and monitor risk management plans and procedures	• Communication capabilities • Location/position of the agency • E-business capacity • Need for specialist assistance in certain areas. <i>Identify underperforming products and services</i> should relate to: • Analysing sales records • Determining reasons for performance, such as sales that are below expectations. <i>Identify expected market share</i> may include: • Estimating growth or decline of business • Identifying market place threats and opportunities. <i>External factors impacting on the business</i> may include: • Status of the labour market • Changes in target market populations • General economic activity, including inflation, currency exchange rates, state of relevant economies and current spending patterns. <i>Comparative market information</i> may relate to: • Best practice information • Benchmarking • Competitor activity and information. <i>Industry and customer trends</i> may refer to current and emerging issues and may include: • Economic indicators • Ecological and environmental issues
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	• Government activities • Social and cultural issues • Demographic characteristics • Technological advances. <i>Legal and ethical issues</i> may include: • Changes to legislation and regulations that have impacted, or have the potential to impact on the business • Industry codes of practice • Consumer expectations • Social responsibilities. <i>Business units</i> may include: • Individual programs and sub-programs and/or individual product and service lines • Cost centres • Branches and agencies including sub-agencies. <i>Business strategies</i> may include decisions relating to: • Business growth, including expansions and acquisitions • Contraction of the business • Catch-up • Redirection, including business turnaround • Addressing specific areas such as: ▪ Technology ▪ Staffing
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	▪ Funding ▪ Marketing ▪ Products and services ▪ Sales ▪ Administration ▪ Structure and organisation. <i>Develop business strategies</i> may include: • Identifying internal and external business environment • Developing key organisational capability statements • Undertaking gap analysis between capabilities and expectations • Investigating and evaluating strategic options in accordance with the strategic plan for the business • Preparing plans, documenting identified strategies to indicate: ▪ Goals, objectives, targets and Key Performance Indicators (KPIs) ▪ Specific action or strategies to be taken to achieve the stated goals and objectives ▪ Timelines ▪ Allocation of responsibilities. <i>Communicate business strategies</i> may include: • Using small group information sessions • Disseminating via computerised communications • Making verbal presentations and explanations • Providing the strategies through in-house publications.
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	<i>Review established strategies</i> may include: • Revising strategies in a timely fashion • Determining actual performance of the strategies. <i>Information sources</i> may include: • Interviews with stakeholders • Surveys • Focus group interviews • Research on existing programs • Solicited and unsolicited feedback • Organisational reviews • Workforce management data • Statistical data, including sales, bookings and profit. <i>Evaluate the effectiveness of the strategies</i> may include: • Assessing performance against the attainment of established indicators, including objectives, use of resources, timelines, execution of allocated responsibilities and budgets • Seeking opinions from relevant stakeholders • Validating conclusions reached in relation to strategy performance. <i>Recommendations for enhancements to strategies and plans</i> should include: • Targeting recommendations to evidence-based outcomes • Reviewing internal and external business environment factors • Revising organisational policies and procedures • Revising goals, objectives and targets • Recommending changes in strategic directions for the organisation.
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	<i>Risks associated with implementation of strategic plans may relate to:</i> • People • Assets • Physical environment • Reputation and image of the organisation • Legal issues • Business continuity • Finances. <i>Information sources may include:</i> • Computer modelling • Sensitivity analysis • Structured interviews • Statistical data • Questionnaires • Fault trees analysis • Analysis of consequences including loss of money, time, labour, sales and intangibles. <i>Assess risk levels may include:</i> • Determining acceptable and unacceptable risks • Classifying the level and extent of the risk • Balancing risks against opportunities afforded by taking the risk.
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	<i>Operational risk management policy</i> should include: • Reasons for the enterprise wanting or needing to manage operational risk • Objectives of the operational risk management strategies • Statements regarding the limits of operational risk the enterprise will allow or engage in • The ways in which the enterprise will manage operational risk • Allocation of responsibilities for operational risk management • Identification of reviews of existing operational risk management strategies • Statement by management committing the enterprise to managing operational risk. <i>Operational risk management plans</i> should include: • Statement and description of the operational risks to be managed • Allocation of responsibilities and resources to attain the objectives of the plan • Descriptions of action to be taken in the event of an operational risk becoming a reality, including specific actions by nominated persons, sequencing of actions and identification of resources to assist in risk abatement/treatment • Preventative action to be taken to reduce the chance of an operational risk becoming a reality • Steps to eliminate unacceptable operational risks, including priorities for doing so • Details regarding the application of identified risk control measures to operational risks that cannot be eliminated. <i>Operational contingency plans</i> should include: • Details of the actions the enterprise will take when an operational risk has become a reality and loss or damage has occurred, including identification of necessary scopes of authorities, changes to standard operating procedures, limitations on actions and contact with outside agencies including the media
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- Processes to retrieve the situation and re-establish normal operating conditions
- Specific actions to retain customers and market share
- Specific actions to maintain industry confidence, stakeholders and customers of the enterprise
- Damage limitation and damage control protocols.

Assessment Guide

The following skills and knowledge must be assessed as part of this unit:

- Enterprise policies and procedures in regard to development, implementation, monitoring, review and communication of business and strategic plans
- Legislation of the host country in relation to the business operation
- Principles of data collection and research methodologies
- Knowledge of strategic planning models and theory
- Knowledge of risk management principles and processes
- Ability to prepare written plans and strategies
- Ability to apply business planning techniques and software
- In-depth knowledge of the host enterprise, industry sector, target markets, market research data, products and services offered
- Ability to analyse and interpret documents and data
- Ability to use management, negotiation and influencing skills.

Linkages To Other Units

- Develop and update local knowledge
- Develop a marketing strategy and coordinate sales activities
- Produce documents, reports and worksheets on a computer

	• Plan and establish systems and procedures • Prepare business documents • Develop and implement operational policies • Develop and supervise operational approaches • Manage legal requirements for business compliance • Develop and update tourism industry knowledge • Construct and apply tourism product research • Create, implement and evaluate strategic product initiatives • Develop, manage and evaluate local marketing strategies • Source and present information • Lead and manage a development team • Monitor workplace operations. Critical Aspects of Assessment Evidence of the following is essential: • Understanding of host enterprise policies and procedures in regard to development, implementation, monitoring, review and communication of business and strategic plans • Demonstrated ability to conduct research to identify the external and internal factors affecting or impacting on a nominated real or simulated organisation • Demonstrated ability to review and evaluate existing business plans and strategies that apply to a real or simulated organisation • Demonstrated ability to prepare and justify the development of a comprehensive and viable suite of business strategies and related plans to guide the operation of a nominated real or simulated organisation • Demonstrated ability to prepare risk management policy, plans and strategies for a nominated real or simulated organisation.
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	Context of Assessment This unit may be assessed on or off the job: • Assessment should include practical demonstration either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge • Assessment must relate to the individual's work area or area of responsibility. Resource Implications Training and assessment must include the use of real or simulated organisations and real industry and general environmental and marketplace business factors; and access to workplace standards, procedures, policies, guidelines, tools and equipment. Assessment Methods The following methods may be used to assess competency for this unit: • Observation of practical candidate performance • Analysis of portfolio of documents developed by the candidate, including research material, reviews of existing strategies, new or revised plans and strategies and evidence of risk assessment • Project work • Case studies • Oral and written questions • Third party reports completed by a supervisor • Project and assignment work.
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	Key Competencies in this Unit <i>Level 1 = competence to undertake tasks effectively</i> <i>Level 2 = competence to manage tasks</i> <i>Level 3 = competence to use concepts for evaluating</i>		
	Key Competencies	Level	Examples
	Collecting, organising and analysing information	3	Formulate recommendations for changes to plans and strategies
	Communicating ideas and information	2	Negotiate with stakeholders in relation to the development of business strategies
	Planning and organising activities	3	Arrange reviews of plans and strategies
	Working with others and in teams	3	Develop strategies in consultation and collaboration with stakeholders
	Using mathematical ideas and techniques	2	Assess and quantify risks; establish supporting budgets for business strategies
	Solving problems	3	Address identified risk
	Using technology	1	Use the internet to research information; use planning software

Notes and PowerPoint slides

Slide

DEVELOP AND MANAGE BUSINESS STRATEGIES

D2.TRM.CL9.03



Slide 1

Slide No	Trainer Notes
1.	Trainer welcomes students to class.

Slide

Subject elements

This unit comprises five Elements:

- Identify the internal business environment
- Identify the external business environment
- Define and implement business strategies
- Review the effectiveness of business strategies
- Manage risk associated with business strategies



Slide 2

Slide No	Trainer Notes
2.	Trainer advises this Unit comprises five Elements, as listed on the slide explaining: • Each Element comprises a number of Performance Criteria which will be identified throughout the class and explained in detail • Trainees can obtain more detail from their Trainee Manual • At times the course presents advice and information about various protocols but where their workplace requirements differ to what is presented, the workplace practices and standards, as well as policies and procedures must be observed.

Slide

Assessment

Assessment for this unit may include:

- Oral questions
- Written questions
- Work projects
- Workplace observation of practical skills
- Practical exercises
- Formal report from supervisor



Slide 3

Slide No	Trainer Notes
3.	Trainer advises that assessment for this Unit may take several forms all of which are aimed at verifying they have achieved competency for the Unit as required. Trainer indicates the methods of assessment that will be applied to them for this Unit.

Slide

Element 1:

Identify the internal business environment



Slide 4

Slide No	Trainer Notes
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4.	
----	--

Introduce topic.

Class Activity – General Discussion

Ask general questions:

- What is the internal business environment?
- What do you want to analyse within the environment?
- How can you conduct analysis?

Slide

Identify the internal business environment

Performance Criteria for this Element are:

- Identify and confirm core features of the business
- Identify marketing information relevant to the current situation
- Review business performance information
- Identify capabilities and resources of the business
- Identify under performing products and services



Slide 5

Slide No	Trainer Notes
5.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide

Business plans and strategies

Importance of business plans and strategies

- Used in most travel and tourism organisations, a business strategy commonly is a document that clearly articulates the direction a business will pursue in the future and the steps it will take to achieve its objectives
- Business strategies are usually derived from a business plan



Slide 6

Slide No	Trainer Notes
6.	Class Activity – Questions Ask general questions: • What is the difference between plans and strategies?

Slide

Business plans and strategies

A business plan

A business plan is a written document that presents detailed information about:

- The business
- Its projected plans and projections for the future



Slide 7

Slide No	Trainer Notes
7.	Class Activity – Questions Ask general questions: • What is the purpose of a business plan?

Slide

Business plans and strategies

Importance of a business plan

- A business plan is the key formal document that sets out a total picture of how a business will operate
- It helps to establish standards for measuring the success of all aspects of a business



Slide 8

Slide No	Trainer Notes
8.	Class Activity – Questions Ask general questions: • What information is included in a business plan?

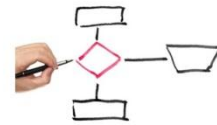
Slide

Business plans and strategies

Basis of a business plan

The plan is based on:

- An analysis of the business' current situation
- Forecasts of future trends within the relevant industry and economy
- Includes results from research into all aspects of the business operation
- Is a logical and structured document



Slide 9

Slide No	Trainer Notes
9.	Class Activity – Questions Ask general questions: • How can you analyse current performance? • How can you determine future trends?

Slide

Business plans and strategies

Business strategy steps

A typical business strategy is developed in four steps:

- Analysis
- Development
- Implementation
- Review



Slide 10

Slide No	Trainer Notes
10.	Class Activity – Questions Ask general questions: • What is purpose of each step? • What activities are performed under each step?

Slide

Business plans and strategies

Understand vision, values and mission of the business

Why is the purpose of the following documents?

- Vision
- Values
- Mission Statement
- Corporate goals
- Strategic plans



COMPLETE ACTIVITY 1

Slide 11

Slide No	Trainer Notes
11.	Class Activity – Questions & Review business planning documents & Activity Ask general questions: • Discuss the question in the slide • Trainer to show examples of these documents • Complete Activity.

Slide

Core Activities

Identify general core activities

- Getting information
- Selling or influencing others
- Interacting with computers
- Communicating with persons outside organisation
- Updating and using relevant knowledge
- Establishing and maintaining interpersonal relationships
- Organising, planning, and prioritising work



Slide 12

Slide No	Trainer Notes
12.	Class Activity – Questions Ask general questions: • What are the key tasks undertaken for each of these activities?

Slide

Core Activities

Identify general core activities

- Communicating with supervisors, peers, or subordinates
- Documenting information
- Making decisions and solving problems
- Interpreting others
- Resolving conflicts and negotiating with others
- Performing administrative activities



Slide 13

Slide No	Trainer Notes
13.	Class Activity – Questions Ask general questions: • What are the key tasks undertaken for each of these activities?

Slide

Core Activities

Identify general core activities

- Judging the qualities of things, services or people
- Processing information
- Thinking creatively
- Analysing data or information
- Assisting and caring for others
- Coordinating the work activities of others



Slide 14

Slide No	Trainer Notes
14.	Class Activity – Questions Ask general questions: • What are the key tasks undertaken for each of these activities?

Slide

Core Activities

Identify general core activities

- Scheduling work and activities
- Monitoring and controlling resources
- Training and teaching others
- Developing objectives and strategies
- Identifying objects, actions and events
- Estimating the quantifiable characteristics of products, events or information
- Provide consultation and advice to others
- Developing and building teams



Slide 15

Slide No	Trainer Notes
15.	Class Activity – Questions Ask general questions: • What are the key tasks undertaken for each of these activities?

Slide

Core Activities

Identify general core activities

- Coaching and developing other
- Evaluating information to determine compliance with standards
- Monitor processes, materials or surroundings
- Guiding, directing and motivating subordinates
- Staffing organisational units
- Handling and moving objects



Slide 16

Slide No	Trainer Notes
16.	Class Activity – Questions Ask general questions: • What are the key tasks undertaken for each of these activities?

Slide

Core Activities

Identify core activities for different positions

What are the core activities for the following positions?

- Travel agent
- Tour guide
- Other travel and tourism industry positions

COMPLETE ACTIVITY 2



Slide 17

Slide No	Trainer Notes
17.	Class Activity – Questions & Activity Ask general questions: • Discuss the question in the slide • Complete Activity.

Slide

Identify products and services offered

Products

A product is anything that can be offered to a market that might satisfy a want or need.

This can include:

- Tourism products and services
- Packages
- Merchandise



Slide 18

Slide No	Trainer Notes
18.	Class Activity – Questions Ask general questions: • What are other examples of products sold in the travel and tourism industry?

Slide

Identify products and services offered

Services

A service is any activity or benefit that one party can offer to the other which is essentially intangible and does not result in the ownership of anything.

It's production may or may not be tied to the product.

- Booking services
- Foreign exchange services
- Insurance



Slide 19

Slide No	Trainer Notes
19.	Class Activity – Questions Ask general questions: • What are other examples of services provided or sold in the travel and tourism industry?

Slide

Identify products and services offered

Travel and tourism products and services

Commonly purchased products and services include:

- Tours
- Attractions
- Activities
- Entertainment
- Events
- Accommodation



Slide 20

Slide No

Trainer Notes

20.

Class Activity – Questions

Ask general questions:

- What products and services are sold within these?

Slide

Identify products and services offered

Travel and tourism products and services

- Amenities and services
- Airlines
- Car hire
- Cruises
- Transfers
- Rail



COMPLETE ACTIVITY 3

Slide 21

Slide No	Trainer Notes
21.	Class Activity – Questions & Activity Ask general questions: • What products and services are sold within these? • Complete Activity.

Slide

Types of customers

Different types of customers

- Existing customers
- Potential customers
- Different market segments



Slide 22

Slide No	Trainer Notes
22.	Class Activity – Questions Ask general questions: • What different approaches do you use when attracting potential vs. existing customers? • Who do you identify potential customers? • What are the different types of market segments do travel and tourism companies try to attract?

Slide

Types of customers

Common customer segments

- Business
- Leisure
- FIT (Free Independent Travelers)
- Tours / coach groups
- Honeymooners
- Families
- Elderly



Slide 23

Slide No	Trainer Notes
23.	Class Activity – Questions Ask general questions: • What are the needs of these market segments? • What types of travel and tourism do they seek?

Slide

Types of customers

Common customer segments

- Religious
- Sporting
- Outbound Tourists
- Inbound Tourists
- Domestic Tourists
- International Tourists



COMPLETE ACTIVITY 4

Slide 24

Slide No	Trainer Notes
24.	Class Activity – Questions & Activity Ask general questions: • What are the needs of these market segments? • What types of travel and tourism do they seek? • Complete Activity.

Slide

Research information

Researching travel and tourism information

- Once you have reviewed and understood the core features of the organisation, it is important to review and research other aspects that will affect the future strategic direction of the organisation



Slide 25

Slide No	Trainer Notes
25.	Class Activity – Discuss What are different types of research you can undertake?

Slide

Research information

Collect primary and secondary data

Data is a piece of information that can be collected and interpreted by an organisation for their use.

The two most common sources of data are:

- Primary data – collected for a specific purpose
- Secondary data – generic information



Slide 26

Slide No

Trainer Notes

26.

Class Activity – Discuss

- What are examples of each?

Slide

Primary data

Primary data

Primary research data is newly generated research information that you yourself or the organisation create.

- Customer surveys
- In-house questionnaires and feedback sheets
- Focus groups
- Electronic responses on the website
- Observation



Slide 27

Slide No	Trainer Notes
27.	Class Activity – Discuss • What are other examples of primary data?

Slide

Primary data

Qualitative or quantitative research

Primary data is considered to be either:

- Qualitative research
- Quantitative research



Slide 28

Slide No	Trainer Notes
28.	Class Activity – Discuss • What is the difference between these two types of research?

Slide

Primary data

Qualitative research

- Qualitative research does not look at numbers but tries to find out the reasoning behind certain actions, procedures, activities or ways of thought

Quantitative research

- Quantitative research is market research, based on structured, closed-ended questionnaires, which aims to gather responses that can be summarised in numbers



Slide 29

Slide No	Trainer Notes
29.	Class Activity – Discuss What are examples of each?

Slide

Secondary data

Importance of secondary data

Secondary data is information that already exists.

It just needs to be found.

- What are the benefits of secondary data?
- What are sources of secondary data?



Slide 30

Slide No	Trainer Notes
30.	Class Activity – Discuss • Discuss questions in the slide.

Slide

Secondary data

Types of secondary data

- Domestic and international visitor statistics on departures, expenditure, visitor nights
- Visitor profiles including tourist origins, volume, purpose of trip, seasonality, accommodation, transport and expenditure
- Industry and government research reports on industry trends, current development activity and forecasts of future developments



Slide 31

Slide No	Trainer Notes
31.	Class Activity – Discuss • What are the benefits of collecting these pieces of data? • What other types of secondary data would you collect?

Slide

Secondary data

Types of secondary data

- Client feedback
- Feasibility studies for new developments or products
- Responses to surveys, questionnaires on preferences, needs and current tourist activities



Slide 32

Slide No	Trainer Notes
32.	Class Activity – Discuss • What are the benefits of collecting these pieces of data? • What other types of secondary data would you collect?

Slide

Secondary data

Sources of secondary data

- Government statistics
- Libraries
- Internet
- Government websites
- Private market research firms
- Trade, professional and business associations
- Newspapers and magazines
- Business and industry-specific journals and periodicals



Slide 33

Slide No	Trainer Notes
33.	Class Activity – Discuss • What information is found from these sources? • What types of secondary data would you seek?

Slide

Research information

Sources of data

Data may be collected through endless sources, including but not limited to:

- Interviewing colleagues and clients
- Focus groups
- Data analysis
- Product sampling
- Documentation reviews
- Brochures/DVDs
- Industry statistics



Slide 34

Slide No	Trainer Notes
34.	Class Activity – Discussion Ask general questions: • What are the benefits of each source? • What information could be gathered from each source?

Slide

Research information

Sources of data

- Trade journals
- Daily newspapers
- Internet
- Government departments
- Local council
- Friends, colleagues, business associates
- Other associated businesses in the field



Slide 35

Slide No	Trainer Notes
35.	Class Activity – Discussion Ask general questions: • What are the benefits of each source? • What information could be gathered from each source?

Slide

Research information

Identify current marketing situation

- Market situation
- Product situation
- Competitive situation
- Current strategies



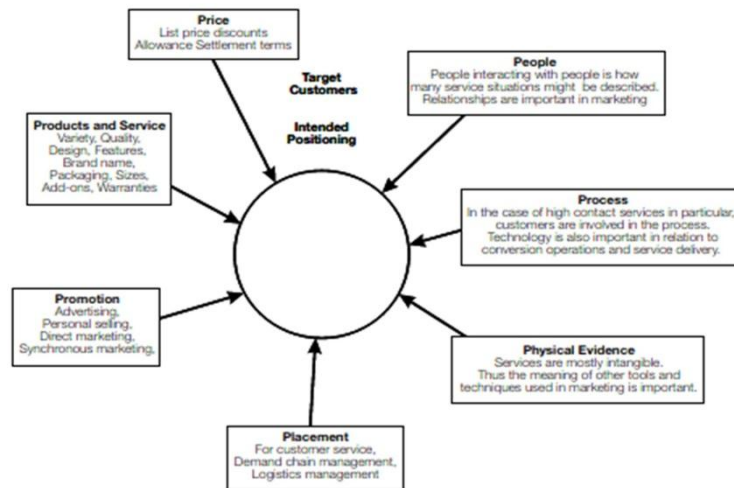
Slide 36

Slide No	Trainer Notes
36.	Class Activity – Questions Ask general questions: • What information is researched under each point?

Slide

Research information

Identify current marketing mix



Slide 37

Slide No	Trainer Notes
37.	Class Activity – Questions Ask general questions: For a travel and tourism organisation, provide examples of the marketing mix in a practical example.

Slide

Research information

Conduct a marketing audit

- The macro-environment
- The task environment
- Marketing strategy audit
- Marketing organisation audit
- Marketing systems audit
- Marketing productivity audit
- Marketing function audit



COMPLETE ACTIVITY 5

Slide 38

Slide No	Trainer Notes
38.	Class Activity – Discussion & Activity Ask general questions: • What is analysed under each point? • Complete Activity.

Slide

Review business performance

Areas of business performance

- Sales and bookings
- Profit
- Cash flow
- Trends
- Market share
- Business partnerships
- Position in the marketplace



Slide 39

Slide No	Trainer Notes
39.	Class Activity – Discussion Ask general questions: • What would you want to analyse for each point?

Slide

Review business performance

Areas of business performance

- Position in the marketplace
- Image of the business
- Identifying strengths and weaknesses of the business
- Identifying critical success factors



Slide 40

Slide No	Trainer Notes
40.	Class Activity – Discussion Ask general questions: • What would you want to analyse for each point?

Slide

Review business performance

Methods to review business performance

The different ways to review business performance will vary depending on which aspect of business performance is to be reviewed.

- What are the different methods that can be used to review business performance?



Slide 41

Slide No	Trainer Notes
41.	Class Activity – Discussion Ask general questions: - Discuss the question in the slide - Refer to the TM for examples.

Slide

Review business performance

Methods to review business performance

Reviewing:

- Past records and previous business plans
- Legal business structure
- Client feedback
- Service audits
- Public perception of the business
- Financial performance



COMPLETE ACTIVITY 6

Slide 42

Slide No	Trainer Notes
42.	Class Activity – Discussion & Activity Ask general questions: • What information do you want to collect from each review? • How can you conduct each type of review? • Complete Activity.

Slide

Capabilities and resources

Importance of identifying capabilities and resources

The key aspects of achieving business success is through the use of capabilities and resources.

Whilst it is important to review the 'end results' as identified in previous sections, it is important to identify the capabilities and resources used in providing products and services to clients.

- What are capabilities?
- What are resources?



Slide 43

Slide No	Trainer Notes
43.	Class Activity – Questions • Answer questions in the slide.

Slide

Capabilities and resources

Types of capabilities

- Products and or services
- Capacity to produce goods or services
- Equipment capacity
- Skill level of staff, management and owners
- Hours of operation
- Communication capabilities
- Location/position of the agency
- E-business capacity
- Need for specialist assistance in certain areas
- Maintaining a competitive advantage



Slide 44

Slide No	Trainer Notes
44.	Class Activity – Questions • Discuss these capabilities.

Slide

Types of resources

Physical resources

These types of resources are essential in performing basic operational activities.

They include:

- Equipment
- Raw materials
- Stock
- Technology
- Location



Slide 45

Slide No	Trainer Notes
45.	Class Activity – Questions • Provide examples for each type of resource.

Slide

Types of resources

Financial resources

Types of financial resources include:

- Cash
- Stock
- Equity
- Loans



Slide 46

Slide No

Trainer Notes

46.

Class Activity – Questions

- Provide examples for each type of resource.

Slide

Types of resources

Human resources

Human resources include:

- Physical number of staff
- Staff expertise
- Skills
- Knowledge



Slide 47

Slide No	Trainer Notes
47.	Class Activity – Questions • Provide examples for each type of resource.

Slide

Types of resources

Intangible resources

Whilst these are not 'seen' they are certainly important in the service industry.

- Reputation
- Good will
- Image
- Brand



Slide 48

Slide No	Trainer Notes
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48.

Class Activity – Questions

- Provide examples for each type of resource.

Slide

Factors affecting resources

Internal factors

- Directions the business wishes to take
- Target markets
- Nature and type of customers
- Service levels and standards
- Services and products provided
- Equipment used



Slide 49

Slide No	Trainer Notes
49.	Class Activity – Questions • How do these factors affect resources?

Slide

Factors affecting resources

Internal factors

- The existing reputation and image of the business
- Budget
- Style of service
- Existing resources
- Volume of customers
- Promises made



Slide 50

Slide No

Trainer Notes

50.

Class Activity – Questions

- How do these factors affect resources?

Slide

Factors affecting resources

External factors

- The external business environment
- Customer expectations
- Emerging trends
- Changes in legislation and technology
- Availability of resources



COMPLETE ACTIVITY 7

Slide 51

Slide No	Trainer Notes
51.	Class Activity – Questions & Activity • How do these factors affect resources? • Complete Activity.

Slide

Identify underperformance

Importance of identifying under performing products and services

- It is vital that any underperforming products and services currently being provided in your travel and tourism organisation are identified in a timely manner
- Not only is it important that you identify problem areas or areas for improvement, but you also understand the reasoning behind the problems or substandard performance



Slide 52

Slide No	Trainer Notes
52.	Class Activity – Discussion Ask general questions: How can you identify 'underperformance'?

Slide

Identify underperformance

Underperformance in service oriented industries

- Staff absences
- Professional incompetence
- Service failure
- Customer complaints
- Customer attrition
- Failure to meet targets



Slide 53

Slide No	Trainer Notes
53.	Class Activity – Discussion Ask general questions: • What are the causes of these?

Slide

Identify underperformance

Methods to identify underperformance

- Observing what occurs in the workplace
- Develop and use a checklist to guide what you observe
- Observing inefficient work practices
- Looking for causes of problems
- Observing non-compliant situations
- Analysing documentation
- Being advised by management/owners
- Involve workers in your observations



Slide 54

Slide No	Trainer Notes
54.	Class Activity – Discussion Ask general questions: • What other methods can be used?

Slide

Identify underperformance

Sources of underperformance

Whilst a number of problems relating to performance may be caused directly by staff, it is arrogant for management to think that every problem is caused by staff.

- Employee qualities
- Organisational sources
- External sources



Slide 55

Slide No	Trainer Notes
55.	Class Activity – Discussion Ask general questions: • What are examples under each point? • How can you address them?

Slide

Identify underperformance

Corrective strategies to resolve underperformance issues

- Open discussion and problem solving with relevant stakeholders
- Grievance reporting
- Employee counselling
- Developing and implementing action plans
- Job rotation
- Addressing staff perceptions of company branding



Slide 56

Slide No	Trainer Notes
56.	Class Activity – Discussion Ask general questions: • Discuss when and how these corrective strategies can best get used.

Slide

Identify underperformance

Corrective strategies to resolve underperformance issues

- Improved work processes
- Adjusting service resources allocations
- Training and development
- Resolving industrial issues
- Resolving occupational health and safety issues
- Management by walk about (MBWA)



COMPLETE ACTIVITY 8

Slide 57

Slide No	Trainer Notes
57.	Class Activity – Discussion & Activity Ask general questions: • Discuss when and how these corrective strategies can best get used • Complete Activity.

Slide

Element 2:

Identify the external business environment



Slide 58

Slide No	Trainer Notes
58.	Introduce topic. Class Activity – General Discussion Ask general questions: • What factors outside the business can have an impact?

Slide

Identify the external business environment

Performance Criteria for this Element are:

- Identify expected market share
- Identify external factors impacting on the business
- Analyse comparative market information
- Analyse industry and customer trends
- Analyse the legal and ethical issues in the market place



Slide 59

Slide No	Trainer Notes
59.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide

Understanding environments

When researching information to help facilitate the business strategic planning process, it is essential to collecting and analysing information on:

- External environment - what is provided or needed by competitors and the industry as a whole
- Internal environment - what the organisation provides



Slide 60

Slide No	Trainer Notes
60.	Class Activity – Questions Ask general questions: • What information can be collected about each of these environments?

Slide

Understanding environments

- Section 1 focused on the internal environment
- Section 2 will focus on the external environment



Slide 61

Slide No	Trainer Notes
61.	Class Activity – Questions Ask general questions: • Review Section 1 and the areas covered • Anticipate what will be covered in Section 2.

Slide

Identify market share

Definition of market share

- Market share is defined at the breakup of market size in percentage terms, based on the volume of business conducted in relation to similar businesses in the industry
- It is used to identify the size and success of individual competing companies within a specific industry



Slide 62

Slide No	Trainer Notes
62.	Class Activity – Questions Ask general questions: • Why is it important to understand market share? • How can you identify your market share?

Slide

Identify market share

Collecting market information

- Size of the overall market
- Market Growth Rate
- Indicators of market size
- Products and services sold / product definition
- Names of competitors
- Market share - overall and for different products and services
- Past market growth
- Emerging Opportunities / Threats
- Projected market growth



Slide 63

Slide No	Trainer Notes
63.	Class Activity – Discussion Ask general questions: • Discuss importance of these pieces of information to a business.

Slide

Identify market share

Identify and understand businesses

- Why is it important to identify successful and unsuccessful businesses?
- What are examples of successful and unsuccessful businesses in your region and in your industry?
- What information do you want to know about them to improve your market share?

COMPLETE ACTIVITY 9



Slide 64

Slide No	Trainer Notes
64.	Class Activity – Discussion & Activity Ask general questions: • Discuss the questions in the slide • Complete Activity.

Slide

Analysing external environment

Importance of analysing the external environment

- What do you want to analyse?
- What information do you seek?
- Where do you get this information?



Slide 65

Slide No	Trainer Notes
65.	Class Activity – Questions • Discuss questions in the slide.

Slide

Analysing external environment

Analysis of external environment

- Economic climate
- Customer preferences and trends
- Markets
- Environment
- Technology
- Political issues



What other external influences exist?

COMPLETE ACTIVITY 10

Slide 66

Slide No	Trainer Notes
66.	Activity & Activity • Identify different types of information to be collected under each point • Complete Activity.

Slide

Analyse competition

Importance of understanding competition

Knowing what the competition is doing in the marketplace is a critical aspect of strategic planning for any business.

This knowledge can be combined with other data to determine:

- Which target markets the establishment will develop
- Which ones it may elect to move out of
- What the premises needs to do in order to meet or exceed what the opposition is doing



Slide 67

Slide No	Trainer Notes
67.	Questions • How can you understand competition? • What do you want to know?

Slide

Analyse competition

Identifying the competition

It is important to identify the main competitors to your business including their:

- Name
- Address
- Number of staff
- Strengths and weaknesses



Slide 68

Slide No	Trainer Notes
68.	Questions • Provide examples of competitors in the travel and tourism industry in your region.

Slide

Analyse competition

Analysing the competition

It is important to identify the main competitors to your business including their:

- What information do you want to know?
- How can you get the information?



Slide 69

Slide No	Trainer Notes
69.	Questions • Discuss the questions in the slide • Refer to examples on TM Page 63 & 64.

Slide

Developing competitive advantage

Importance of understanding competitive advantage

- Why is this important?
- How can you create a competitive advantage?
- What are examples of competitive advantages companies have in your industry?

COMPLETE ACTIVITY 11



Slide 70

Slide No	Trainer Notes
70.	Questions & Activity • Discuss questions in the slide • Complete Activity.

Slide

Joint ventures and strategic alliances

Explore the potential for joint ventures and strategic alliances.

- It may be that there is an opportunity for your business to form a joint venture or strategic alliance with another organisation



COMPLETE ACTIVITY 12

Slide 71

Slide No	Trainer Notes
71.	Questions and Activity - Identify different types of successful ventures or strategic alliances between companies - What made them successful? - What would be the criteria for successful mergers? - Complete Activity 12.

Slide

Analyse trends

Importance of understanding trends

Understanding trends of the industry is vital in ensuring that what you are seeking to provide to the market is not only fresh and relevant but is in demand.

- What is a trend?
- Why is it important to understand trends?
- Which trends and statistics are important?
- How can you collect this information?



Slide 72

Slide No	Trainer Notes
72.	Class Activity – Questions • Discuss questions in the slide.

Slide

Analyse trends

Importance of understanding trends

Your research should seek to:

- Determine what the trend is
- Identify whether it is a positive or negative trend
- Calculate how long the trend has been identifiable
- Determine the possible threat or opportunity this trend presents or provides



Slide 73

Slide No	Trainer Notes
73.	Class Activity – Questions • Why are these points important? • What else do you want to seek?

Slide

Analyse trends

Emerging trends

The aim of 'analysing information' in this context is to identify emerging trends.

An emerging trend may be seen as:

- Something which did not previously exist but now does
- A variation to a previous pattern:
 - Positive – a 'growing' trend
 - Negative – a 'declining' trend
- A change in the degree of the variation



Slide 74

Slide No	Trainer Notes
74.	Class Activity – Questions ● What are examples of emerging trends? ● Which ones are positive? ● Which ones are negative?

Slide

Analyse trends

Sources of trend information

- Direct observation
- Personal surveys
- Internet research
- Colleagues, supervisors and managers
- Head office
- Customers
- Industry suppliers
- Developing your own industry network
- Conferences and seminars



Slide 75

Slide No	Trainer Notes
75.	Class Activity – Questions • What information can be gathered from each of these sources?

Slide

Analyse trends

Sources of trend information

- Product launches
- Industry statistics from industry bodies or associations
- Data from relevant government agencies
- Trade magazines
- Industry publications
- Newsletters and brochures
- Advertisements
- Reference books



Slide 76

Slide No

Trainer Notes

76.

Class Activity – Questions

- What information can be gathered from each of these sources?

Slide

Analyse trends

Types of trends

- Market trends
- Social trends
- Customer trends
- Tourism industry statistics and trends



COMPLETE ACTIVITY 13

Slide 77

Slide No	Trainer Notes
77.	Class Activity – Questions & Activity • What information can be gathered from each of these sources? • Complete Activity.

Slide

Analyse legal issues

Importance of understanding laws

- For any business it is important to understand the different types of laws that govern business operations and activities
- Laws are legally binding requirements established under legislation or Acts



Slide 78

Slide No	Trainer Notes
78.	Class Activity – Discussion Ask general questions: • Why is it important to understand laws?

Slide

Analyse legal issues

Tourism law

Tourism Law is commonly defined as a body of rules or principles of action which deals with the regulation, authority, relations and obedience among members of a society involved in tourist travel and accommodation.

- What laws affect the travel and tourism industry?
- What legal trends exist?



Slide 79

Slide No	Trainer Notes
79.	Class Activity – Discussion Ask general questions: • Discuss the questions in the slide.

Slide

Analyse legal issues

Types of laws and regulations

- Legislation
- Common law
- Act of Parliament
- Regulations
- Codes of Practice
- Civil and criminal law



Slide 80

Slide No	Trainer Notes
80.	Class Activity – Discussion Ask general questions: • Identify examples of each.

Slide

Analyse legal issues

General areas to which legal requirements apply

- Business establishment
- Business operation
- Licensing
- Consumer protection and trade practices
- Duty of Care
- Fair trading legislation
- Employment relations



Slide 81

Slide No	Trainer Notes
81.	Class Activity – Discussion Ask general questions: • What laws apply in each business area?

Slide

Analyse legal issues

General areas to which legal requirements apply

- Employment of foreign workers
- Superannuation / Pension Funds
- Contributory Negligence and Personal Injuries legislation
- Contracts
- Income and company taxation
- Goods and Services taxation
- Financial recording and management



Slide 82

Slide No	Trainer Notes
82.	Class Activity – Discussion Ask general questions: • What laws apply in each business area?

Slide

Analyse legal issues

General areas to which legal requirements apply

- Anti-corruption
- Copyright, patent, design and trademark protection, trade secrets
- Occupational safety and health (OSH)
- Fire Safety
- Environmental legislation
- Insurance requirements



COMPLETE ACTIVITY 14

Slide 83

Slide No	Trainer Notes
83.	Class Activity – Discussion & Activity Ask general questions: • What laws apply in each business area? • Complete Activity

Slide

Analyse ethical considerations

Ethical considerations

Ethical requirements relate to issues about which a personal judgement has to be made regarding the way the business elects to conduct its business.

- What are examples of ethical behaviour in a business?

COMPLETE ACTIVITY 15



Slide 84

Slide No	Trainer Notes
84.	Class Activity – Discussion & Activity Ask general questions: - Discuss question in the slide - Refer to TM pages 76 & 77 for examples - Complete Activity.

Slide

Conduct a SWOT Analysis

So far in this section we have investigated the internal (Section1) and the external (Section 2) influences on a business.

Now that we have a thorough understanding on what may impact on a business it is time to undertake a SWOT Analysis.

- What is a SWOT Analysis?
- What is its importance?



Slide 85

Slide No	Trainer Notes
85.	Class Activity – Discussion Ask general questions: • Discuss question in the slide.

Slide

Conduct a SWOT Analysis

SWOT Analysis

- Strengths – what the business does well
- Weaknesses – what the business can improve upon
- Opportunities – where the business can improve or take advantage
- Threats – where the business may become disadvantaged, weakened or susceptible



Slide 86

Slide No

Trainer Notes

86.

Class Activity – Discussion

- Identify examples of each.

Slide

Conduct a SWOT Analysis

Strengths and Weaknesses

- Finance
- Production
- Resources
- Offerings
- Marketing
- Product life cycle
- Business relationships
- Relationships with customers
- Personnel



Slide 87

Slide No	Trainer Notes
87.	Activity • Review SWOT Analysis components.

Slide

Conduct a SWOT Analysis

Opportunities and threats

- Political considerations
- Economic considerations
- Social considerations
- Technological considerations
- Legal considerations
- Environmental considerations



Slide 88

Slide No

Trainer Notes

88.

Activity

- Review SWOT Analysis components.

Slide

Conduct a SWOT Analysis

Opportunities

- New markets
- New, up-dated or modified products or services
- Occasions where new/higher prices may be charged
- Problems being experienced by other providers which result in an opening for you
- Closure of an opposition business
- Fresh markets now available



Slide 89

Slide No	Trainer Notes
89.	Activity • Review SWOT Analysis components • Undertake analysis as part of Activity 6.

Slide

Conduct a SWOT Analysis

Threats

- Introduction of new or more severe legislation
- Opening of a new competitor
- Worsening economic conditions
- Staff shortages
- Difficulty in obtaining physical resources
- An unsettled domestic situation which scares off tourists
- Negative comparative monetary exchange rates with countries who are major clients



COMPLETE ACTIVITY 16

Slide 90

Slide No	Trainer Notes
90.	Activity & Activity • Review SWOT Analysis components • Undertake analysis • Complete Activity.

Slide

Element 3:

Define and implement business strategies



Slide 91

Slide No	Trainer Notes
91.	Introduce topic. Class Activity – General Discussion Ask general questions: What needs to be considered when: • Developing business strategies? • Implementing business strategies?

Slide

Define and implement business strategies

Performance Criteria for this Element are:

- Formulate business objectives for individual business units
- Review existing business strategies
- Develop business strategies relating to established strategic objectives for the organisation
- Communicate business strategies to relevant stakeholders



Slide 92

Slide No	Trainer Notes
92.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide

Formulate business strategies

Importance of business objectives

- One of the initial aspects of establishing business strategies is to identify objectives you wish to achieve
- The objectives are the goals or targets to work towards and once defined, enable the planning of strategies to achieve them



Slide 93

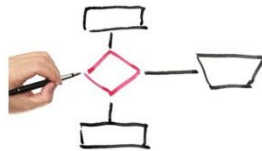
Slide No	Trainer Notes
93.	Class Activity – Discussion Ask general questions: • What are examples of objectives? • Who sets them?

Slide

Formulate business strategies

Identify business units requiring objectives

- Individual programs and sub-programs or individual product and service lines
- Cost centres
- Branches and agencies including sub-agencies



Slide 94

Slide No

Trainer Notes

94.

Class Activity – Discussion

Ask general questions:

- What are examples of other business units?

Slide

Formulate business strategies

Develop SMART objectives

- Specific
- Measurable
- Accurate
- Realistic
- Trackable



Slide 95

Slide No	Trainer Notes
95.	Class Activity – Discussion Ask general questions: • What are SMART objectives important? • What are examples of SMART objectives?

Slide

Formulate business strategies

Focus of objectives

- Sales figures
- Revenues
- Delivery times
- Service standards
- Client numbers
- Client handling times
- Staff turnover
- Profit margins
- Client development



Slide 96

Slide No

Trainer Notes

96.

Class Activity – Discussion

Ask general questions:

- What are examples of SMART objectives for each of these lines?

Slide

Formulate business strategies

Focus of objectives

- ◉ Geographic expansion
- ◉ Organisational growth
- ◉ Service growth
- ◉ Debt reduction
- ◉ Income development
- ◉ Re-positioning the business
- ◉ New target markets
- ◉ Meeting competition
- ◉ Customer loyalty



COMPLETE ACTIVITY 17

Slide 97

Slide No	Trainer Notes
97.	Class Activity – Discussion & Activity Ask general questions: • What are examples of SMART objectives for each of these lines? • Complete Activity

Slide

Review business strategies

Importance of reviewing previous business plans and strategies

Once you have identified your business objectives, it is now time to reflect on past strategies as a learning tool as to how to progress in the future.

- What documents would you look at?
- What information would you seek?



Slide 98

Slide No	Trainer Notes
98.	Class Activity – Discussion Ask general questions: • Discuss the questions in the slide.

Slide

Review business strategies

Importance of reviewing previous business plans and strategies

To determine:

- What the earlier goals of the business were
- How the business tried to achieve them
- What has worked in the past
- The extent of the success it had in achieving its goals
- What strategies were not successful
- Reasons behind success and failure of previous strategies
- Which strategies can be used in future strategic planning, either in their existing format or amended



Slide 99

Slide No	Trainer Notes
99.	Class Activity – Discussion Ask general questions: • Why is this important?

Slide

Review business strategies

Documents to review

- Business plans
- Business strategies
- Accounting documentation
- Budgets
- Profit and loss statements
- Balance sheets
- Cash flow reports
- Customer feedback documentation



COMPLETE ACTIVITY 18

Slide 100

Slide No

Trainer Notes

100.

Class Activity – Discussion & review of documents & Activity

Ask general questions:

- What other documents can be reviewed?
- Trainer to show copies of documents
- Complete Activity.

Slide

Develop business strategies

Steps in developing business strategies

- Involve input of stakeholders
- Identifying possible business strategies
- Developing capability statements
- Undertaking gap analysis between capabilities and expectations
- Investigating and evaluating strategic options in accordance with the strategic plan for the business
- Prepare Key Performance Indicators (KPIs)
- Define and assign roles
- Identify support and resources required to support implementation of new strategies



Slide 101

Slide No	Trainer Notes
101.	Class Activity – Discussion Ask general questions: • What activities are associated with each of these steps?

Slide

Involve stakeholders

Importance of stakeholders

- What are examples of stakeholders?
- Why involve them in developing strategies?



Slide 102

Slide No	Trainer Notes
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102.	
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	Questions
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- | | |
|--|--|
| | <ul style="list-style-type: none">• Discuss question in the slide. |
|--|--|

Slide

Encourage staff to input into plans

Encourage staff to provide input into strategic planning

- How can a manager do this?



Slide 103

Slide No	Trainer Notes
103.	Questions Discuss question in the slide.

Slide

Encourage staff to input into plans

Methods to encourage staff input

- Asking for ideas
- Having an 'open door' policy regarding suggestions
- Sharing ideas
- Being prepared to test new ideas
- Seeking information and ideas from non-traditional places



Slide 104

Slide No

Trainer Notes

104.

Questions

- What other methods could be incorporated to involve staff?

Slide

Encourage staff to input into plans

Methods to encourage staff input

- Thanking people for their contributions
- Taking the time and effort to explain to someone who contributed an idea why their idea was not implemented
- Ensuring the person responsible for suggesting an effective new approach receives the credit for doing so



COMPLETE ACTIVITY 19

Slide 105

Slide No	Trainer Notes
105.	Questions & Activity • What other methods could be incorporated to involve staff? • Complete Activity.

Slide

Identify business strategies

Identify possible business strategies

- Business growth, including expansions and acquisitions
- Contraction of the business
- Catch-up
- Redirection, including business turnaround
- Maintaining or growing market share
- Moving into new markets



Slide 106

Slide No

Trainer Notes

106.

Questions

- What would be some actions to implement these strategies?

Slide

Identify business strategies

Identify possible business strategies

- Refurbishing the property
- Developing new products, services or facilities
- Making changes to or upgrading existing products, services, packages, deals
- Re-positioning the venue in the marketplace in the eyes of the customers



Slide 107

Slide No	Trainer Notes
107.	Questions • What would be some actions to implement these strategies?

Slide

Identify business strategies

Identify possible business strategies

Addressing specific areas such as:

- Technology
- Staffing
- Funding
- Marketing
- Products and services
- Sales
- Administration
- Structure and organisation



Slide 108

Slide No	Trainer Notes
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108.	Questions • What would be some actions to implement these strategies?
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Slide

Identify business strategies

Develop capability statements

One way of identifying what the business can and wants do is to develop a range of 'capability statements'.

These capability statements will specify:

- What the business is able to do
- What its limitations are



Slide 109

Slide No	Trainer Notes
109.	Questions • What is the purpose of capability statements? • What types of capability statements are there?

Slide

Identify business strategies

Types of capability statements

- External capability statements
- Internal capability statements



Slide 110

Slide No	Trainer Notes
110.	Questions & Review capability statements • What is the difference between these capability statements? • What information is contained within these capability statements? • Trainer to provide examples for review.

Slide

Identify business strategies

Undertake gap analysis

- What is its purpose?
- What information is contained in a gap analysis?



Slide 111

Slide No	Trainer Notes
111.	Questions & Review gap analysis • Discuss the questions in the slide • Trainer to provide examples for review.

Slide

Identify business strategies

Develop Key Performance Indicators (KPIs)

- Total number of customers
- Total number of customers per department or market segment
- Average dollar spent
- Total revenue per capita
- Sales per product group
- Average sales per day's trading



Slide 112

Slide No

Trainer Notes

112.

Questions

- What are other KPI's that could be used, specific to the tourism industry?
- What exact measurements or standards for each KPI should be identified?

Slide

Identify business strategies

Develop Key Performance Indicators (KPIs)

- Average total revenue per client
- Marketing expense per customer
- Marketing expense and sales revenue per customer from a specific campaign
- Total revenue / full time employee
- Gross profit margin



Slide 113

Slide No	Trainer Notes
113.	Questions • What are other KPI's that could be used, specific to the tourism industry? • What exact measurements or standards for each KPI should be identified?

Slide

Identify business strategies

Define and assign roles

- Structure of the project time
- Level of responsibility and authority
- Start dates of change
- Expected completion date
- Pre-change activities
- Activities to be performed



Slide 114

Slide No

Trainer Notes

114.

Discussion

- What information needs to be communicated under each point?

Slide

Identify business strategies

Define and assign roles

- ⦿ Resources required to implement the plan
- ⦿ Work breakdown
- ⦿ Involvement of other staff
- ⦿ Training to be taken
- ⦿ Support mechanisms
- ⦿ Expected standard of performance



Slide 115

Slide No	Trainer Notes
115.	Discussion • What information needs to be communicated under each point?

Slide

Identify business strategies

Define and assign roles

- Milestones for completion
- Budgets to work within
- Methods of communication
- Making observations
- Providing feedback



Slide 116

Slide No	Trainer Notes
116.	Discussion • What information needs to be communicated under each point?

Slide

Identify business strategies

Identify support and resources to support implementation of strategies

The aim is to enable staff to be able to learn and implement new strategies into the workplace.

During this period, you must manage the twin functions of:

- Task functions
- Maintenance functions



COMPLETE ACTIVITY 20

Slide 117

Slide No	Trainer Notes
117.	Discussion & Activity • Identify the different types of functions • Complete Activity.

Slide

Communicate business strategies

Present final strategies to relevant stakeholders accurately

- Once business strategies been finalised, it is now time to present the final version to relevant stakeholders



Slide 118

Slide No

Trainer Notes

118.

Questions

- What are considerations when planning to present final business strategies?
- What activities need to be completed?

Slide

Communicate business strategies

Stakeholder considerations

- Get a clear understanding of the business strategies
- Ensure that all key concerns have been considered
- Understand the benefits of the business strategies
- Understand how the business strategies will benefit them
- Understand how the business strategies will impact on them



Slide 119

Slide No	Trainer Notes
119.	Questions • How can you meet these concerns? • What other concerns would you have?

Slide

Communicate business strategies

Stakeholder considerations

- Understand their role in implementing the business strategies
- Any potential problems identified
- Have their concerns addressed
- Be excited and reassured about the business strategies



Slide 120

Slide No

Trainer Notes

120.

Questions

- How can you meet these concerns?
- What other concerns would you have?

Slide

Communicate business strategies

Types of stakeholders

- Clients
- Business partners
- Colleagues
- Staff
- Superiors
- Suppliers / vendors
- Team leaders
- Team members
- Venue operator / leaser



Slide 121

Slide No	Trainer Notes
121.	Questions • Why involve these stakeholders?

Slide

Communicate business strategies

Communicate business strategy information

- Key vision of the strategies
- Reasoning or purpose behind the business strategies
- Background information
- Business objectives
- How the strategies will be implemented
- Roles and responsibilities of key stakeholders
- Timelines
- Support mechanisms



Slide 122

Slide No	Trainer Notes
122.	Questions • What else could be communicated?

Slide

Communicate business strategies

Communicate information

How can you communicate information to:

- Staff
- Managers
- Clients
- Suppliers



COMPLETE ACTIVITY 21

Slide 123

Slide No	Trainer Notes
123.	Questions & Activity • Discuss the question in the slide • Complete Activity.

Slide

Element 4:

Review the effectiveness of business strategies



Slide 124

Slide No	Trainer Notes
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124.	
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	Introduce topic.
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	Class Activity – General Discussion
--	--

	Ask general questions:
--	------------------------

- | | |
|--|--|
| | <ul style="list-style-type: none">• How can you review the effectiveness of business strategies?• What information do you seek? |
|--|--|

Slide

Review the effectiveness of business strategies

Performance Criteria for this Element are:

- Review established strategies
- Include multiple perspectives and information sources in determining the effectiveness of strategies
- Evaluate the effectiveness of the strategies
- Make recommendations for enhancements to strategies and plans



Slide 125

Slide No	Trainer Notes
125.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide

Review business strategies

Importance of reviewing business strategies

It is important that business strategies are reviewed on a regular basis.

- What is being done correctly
- What needs improvement, by identifying causes and remedy



Slide 126

Slide No

Trainer Notes

126.

Question

- What are the aims of reviewing business strategies?

Slide

Review business strategies

Timing of business strategy reviews

They may be based on:

- Quarterly reviews
- Business plan cycle
- Performance reports
- Major events triggering a review



COMPLETE ACTIVITY 22

Slide 127

Slide No	Trainer Notes
127.	Questions & Activity • What else can influence the timing of reviews? • Complete Activity.

Slide

Evaluate strategy effectiveness

- In order for an organisation to be successful in being able to provide the highest quality of service whilst still making an adequate financial return for investors, it is vital that every aspect of the operation is operating to the best of its ability
- Therefore management must constantly review and evaluate the performance of all areas that contribute to the functioning of the business



Slide 128

Slide No	Trainer Notes
128.	Class Activity – Questions • Why is the difference between 'reviewing' and 'evaluating'? • How is it done in the workplace?

Slide

Evaluate strategy effectiveness

In order to do this, strategy implementation must be assessed and evaluated to find out:

- ◉ What is being done correctly
- ◉ What needs improvement by:
 - Identifying problems
 - Understanding causes
 - Providing and implementing a suitable remedy



Slide 129

Slide No	Trainer Notes
129.	Class Activity – Review of strategy implementation The Trainer to get to think about recent experiences they have had. • What are areas where performance is normally good? • What causes these areas to be good? • What are areas where performance is normally bad? • What causes these areas to be bad? • Besides through customer comments, as a manager of this business how could you identify the problem exists? • What would be remedies you would put in place to improve them?

Slide

Evaluate strategy effectiveness

Steps of reviewing and evaluating effectiveness of business strategies

- Assessing performance against the attainment of established indicators, including objectives, use of resources, timelines, execution of allocated responsibilities and budgets
- Seeking opinions from relevant stakeholders
- Validating conclusions reached in relation to strategy performance



Slide 130

Slide No	Trainer Notes
130.	Class Discussion Discuss importance of these steps.

Slide

Evaluate strategy effectiveness

Methods used to review and evaluate the effectiveness of business strategies

- Legislation
- Industry data
- Reports
- Best practice information
- New market research information
- Revised internal policies and procedures



Slide 131

Slide No	Trainer Notes
131.	Class Activity – Questions • Discuss what information can be gathered from each of these methods • When are they best used? • What are the advantages and disadvantages of each method?

Slide

Evaluate strategy effectiveness

Methods used to review and evaluate the effectiveness of business strategies

- Using a pretend customer
- Observation
- Interviews with stakeholders
- Surveys
- Focus group interviews
- Discuss progress
- Solicited and unsolicited feedback



Slide 132

Slide No	Trainer Notes
132.	Class Activity – Questions • Discuss what information can be gathered from each of these methods • When are they best used? • What are the advantages and disadvantages of each method?

Slide

Evaluate strategy effectiveness

Methods used to review and evaluate the effectiveness of business strategies

- Research on existing programs
- Organisational reviews
- Workforce management data
- Statistical data
- Comparisons with KPI's
- Checking of documentation
- Verifying time sheets



Slide 133

Slide No	Trainer Notes
133.	Class Activity – Questions • Discuss what information can be gathered from each of these methods • When are they best used? • What are the advantages and disadvantages of each method?

Slide

Evaluate strategy effectiveness

Methods used to review and evaluate the effectiveness of business strategies

- Brainstorming sessions
- Staff input and review
- Checklists
- Flowcharts
- Benchmarking
- Gap analysis
- Compliance reports



COMPLETE ACTIVITY 23

Slide 134

Slide No	Trainer Notes
134.	Class Activity – Questions & Activity • Discuss what information can be gathered from each of these methods • When are they best used? • What are the advantages and disadvantages of each method? • Complete Activity.

Slide

Comparison against KPIs

Organisation's key performance indicators

Organisation's key performance indicators are a set of metrics which organisations can use to measure the success of business plan actions.

- What are examples of KPIs?



Slide 135

Slide No	Trainer Notes
135.	Class Activity – Questions What are examples of KPI's?

Slide

Comparison against KPIs

Types of key performance indicators

- Market share
- Sales figures
- Customer satisfaction
- Growth
- Profitability
- Turnaround times
- Output rates



Slide 136

Slide No	Trainer Notes
136.	Class Activity – Questions • How can you compare results against KPI's?

Slide

Comparison against KPIs

Types of key performance indicators

- Quality rates
- Customer feedback
- Equipment usage rates
- Lead times and down times
- Compliments-complaints ratio
- Customer Satisfaction Index (CSI)



Slide 137

Slide No	Trainer Notes
137.	Class Activity – Questions • How can you compare results against KPI's?

Slide

Identify performance gaps

Compare what is happening against benchmarks

- Comparing actual performance against key performance indicators or service standards set
- Comparing actual performance against benchmark indicators, which can include industry indicators or performance levels of other branches



Slide 138

Slide No	Trainer Notes
138.	Class Activity – Questions • Where can you get access to KPI's and industry indicators? • How do you compare them? • Why would original target become unrealistic?

Slide

Identify performance gaps

Types of performance gaps

- Product or service failures
- Long wait times for service
- High volume of customer traffic
- Inaccurate or conflicting information provided to customers
- Lack of follow-up action by customer care representatives



Slide 139

Slide No	Trainer Notes
139.	Class Activity – Questions • What is the cause of these problems? • What would you do to resolve these?

Slide

Identify performance gaps

Types of performance gaps

- ⦿ Aggressive cross-selling or up-selling by customer service representatives or sales persons
- ⦿ Lack of resources required to implement service operations
- ⦿ Conflicts in priorities
- ⦿ Resource constraints
- ⦿ Lack of information
- ⦿ Supplier delays
- ⦿ Differences in opinion



Slide 140

Slide No	Trainer Notes
140.	Class Activity – Questions • What is the cause of these problems? • What would you do to resolve these?

Slide

Identify performance gaps

Types of performance gaps

- Interpersonal conflict
- Hazardous events
- Time constraints
- Electricity shortages
- Bad weather
- Shortfalls in expected outcomes
- Poor staff performance



Slide 141

Slide No	Trainer Notes
141.	Class Activity – Questions • What is the cause of these problems? • What would you do to resolve these?

Slide

Make recommendations

Present recommendations for strategic and operational improvement

- What are possible reasons for recommendations?
- What information needs to be included in a recommendation?
- What are types of recommendations?



Slide 142

Slide No	Trainer Notes
142.	Class Activity – Discussion General discussion: • Discuss the questions in the slide.

Slide

Make recommendations

Steps associated with making recommendations

- Targeting recommendations to evidence-based outcomes
- Reviewing internal and external business environment factors
- Revising organisational policies and procedures
- Revising goals, objectives and targets
- Recommending changes in strategic directions for the organisation



Slide 143

Slide No	Trainer Notes
143.	Class Activity – Discussion General discussion: • Discuss the importance of these steps.

Slide

Make recommendations

Identify types of recommendations

- Leverage on identified strengths
- Address identified weaknesses
- Identified opportunities and threats
- Capitalising on golden opportunities
- Introducing, modifying or removing actions
- Changing the organisational structure
- Enable greater compliance
- Address future activity in relation to areas



Slide 144

Slide No	Trainer Notes
144.	Class Activity – Discussion General discussion: • What are examples under each of these points? • Refer to TM Pages 116 - 117 for examples.

Slide

Make recommendations

Recommend short and long term corrective action

Corrective actions taken within an operation workplace context can be seen as either:

- Short term corrective action
- Long term corrective action



Slide 145

Slide No	Trainer Notes
145.	Class Activity – Questions • What is the difference between short term and long term action? • Why are these used? • Refer to TM Pages 118-119 for examples.

Slide

Make recommendations

Inclusions in a recommendation

Now that we have identified a wide variety of recommendations that can be made, it is now time to put them into the appropriate format for presentation to appropriate stakeholders.

- What information should be included in a recommendation?



COMPLETE ACTIVITIES 24 & 25

Slide 146

Slide No	Trainer Notes
146.	Class Activity – Questions & Activity - Discuss question in the slide - Complete Activity.

Slide

Make recommendations

Implementing recommendations

- What are activities potentially involved in implementing recommendations?
- How can you monitor the implementation of recommendations?
- Why is it important to monitor the implementation of recommendations?



COMPLETE ACTIVITY 26

Slide 147

Slide No	Trainer Notes
147.	Class Activity – Questions & Activity • Discuss question in the slide • Complete Activity.

Slide

Element 5:

Manage risk associated with business strategies



Slide 148

Slide No	Trainer Notes
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148.	
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	Introduce topic.
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	Class Activity – General Discussion
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	Ask general questions:
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- | | |
|--|---|
| | <ul style="list-style-type: none">• What is a risk?• What are common types of risks?• How can you manage risks? |
|--|---|

Slide

Manage risk associated with business strategies

Performance Criteria for this Element are:

- Identify risks associated with implementation of strategic plans
- Access information sources in relation to identified risk
- Assess risk levels
- Develop written operational risk management policy



Slide 149

Slide No	Trainer Notes
149.	Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide

Manage risk associated with business strategies

Performance Criteria for this Element are:

- Develop written operational risk management plans
- Develop written operational contingency plans
- Communicate risk management strategies to stakeholders
- Review and monitor risk management plans and procedures



Slide 150

Slide No

Trainer Notes

150.

Trainer identifies the Performance Criteria for this Element, as listed on the slide.

Slide

Identify risks

Risk Identification

- ⦿ What are different types of risks?
- ⦿ What needs to be considered?
- ⦿ What are the steps to reduce risks?



Slide 151

Slide No	Trainer Notes
151.	Discuss Discuss questions in the slide.

Slide

Identify risks

Risk Management

Risk management is a logical and systematic process of identifying, analysing, evaluating, treating and monitoring risks related to any strategy plan, process, program or procedures

- What activities are associated with risk management?



Slide 152

Slide No	Trainer Notes
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152.	
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Discuss

- Discuss questions in the slide.

Slide

Identify risks

Types of risks

- Internal and external risks
- Real and perceived risk
- Random risk
- Inherent risk
- Residual risk



Slide 153

Slide No	Trainer Notes
153.	Discuss • Discuss the types of risks • Refer to TM Page 128 for examples.

Slide

Identify risks

Types of internal risks

- Infrastructure
- Employees
- Process
- Business operating systems
- Technology
- Strategic



Slide 154

Slide No	Trainer Notes
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154.

Discuss

- Discuss the types of internal risks
- Refer to TM Pages 129-130 for examples.

Slide

Identify risks

Types of external risks

- Economy
- Supply and demand
- Natural environment
- Politics
- Industry and business associations
- Society
- Technology



Slide 155

Slide No	Trainer Notes
155.	Discuss • Discuss the types of external risks • Refer to TM Pages 130-132 for examples.

Slide

Identify risks

Risk management steps

- Identify and document the risks
- Analyse the risks
- Categorise the risks
- Establish reporting procedures
- Identify training and education opportunities
- Monitor activities to identify potential risks
- Minimise and remove risks



COMPLETE ACTIVITY 27

Slide 156

Slide No	Trainer Notes
156.	Discuss & Activity • Discuss the risk management steps • What activities are associated with each of these steps? • Complete Activity.

Slide

Assess information sources

Risk identification options

A variety of options exist for organisations to select from in relation to their risk management decision making for identified risk and the calculation of risk levels.

- What options exist?



Slide 157

Slide No	Trainer Notes
157.	Discuss Discuss the question in the slide.

Slide

Assess information sources

Identify stakeholders in risk identification

In terms of risk management 'relevant stakeholders' can be seen as anyone, whether internal or external to the organisation, who is impacted by, or who impacts on, the business.

- Who are 'risk analysis' stakeholders?
- Why consult them?



COMPLETE ACTIVITY 28

Slide 158

Slide No	Trainer Notes
158.	Discuss & Activity • Discuss the questions in the slide • Complete Activity.

Slide

Assess information sources

Techniques for risk identification

- Analysis of existing business documentation
- Conduct safety and risk audit
- Testing of equipment, plant and machinery
- Using an external, professional risk consultant
- Reviewing existing risk management strategies
- Visiting the competition and observing what they are doing



Slide 159

Slide No	Trainer Notes
159.	Discuss • Discuss the importance of each technique.

Slide

Assess information sources

Techniques for risk identification

- Touring the local area
- Contacting the council
- Consultation with stakeholders
- Brainstorming
- Process charting
- Flow charts
- Critical thinking techniques



Slide 160

Slide No	Trainer Notes
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160.	Discuss ● Discuss the importance of each technique.
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Slide

Assess information sources

Techniques for risk identification

- Focus groups
- Personal workplace observation
- Reviewing any previous risk management work that has been done
- Seeking advice from peak industry bodies
- Using your personal network of contacts
- Computer modelling



Slide 161

Slide No	Trainer Notes
161.	Discuss • Discuss the importance of each technique.

Slide

Assess information sources

Techniques for risk identification

- Sensitivity analysis
- Structured interviews
- Questionnaires
- Fault trees
- Analysis of consequences



COMPLETE ACTIVITY 29

Slide 162

Slide No	Trainer Notes
162.	Discuss & Activity • Discuss the importance of each technique • Complete Activity.

Slide

Assess risks

Risk analysis

Risk analysis is the process of examining identified risk so that the organisation can understand and appreciate the totality of each risk

- What are risk analysis activities?



Slide 163

Slide No	Trainer Notes
163.	Discuss Discuss question in the slide.

Slide

Assess risks

Risk analysis activities

- Estimate likelihood of risk
- Estimate consequences of risk
- Risk profiling
- Determining acceptable and unacceptable risks
- Classifying the level and extent of the risk
- Risk prioritisation
- Balancing risks against opportunities



Slide 164

Slide No	Trainer Notes
164.	Discuss • Discuss importance of activities.

Slide

Assess risks

Consequences and Likelihood

Risk analysis involves combining the:

- Likelihood of a risk occurring
- Consequences of that risk to produce a risk level



Slide 165

Slide No	Trainer Notes
165.	Discuss • Introduce these two points.

Slide

Assess risks

Likelihood

One standard classification of likelihood is:

- Almost certain
- Likely
- Possible
- Unlikely
- Rare



Slide 166

Slide No	Trainer Notes
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166.	
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Discuss

- Provide examples of risks by likelihood.

Slide

Assess risks

Consequences

One commonly used classification of consequences is:

- Insignificant
- Minor
- Moderate
- Major
- Catastrophic



Slide 167

Slide No	Trainer Notes
167.	Discuss • Provide examples of risks by consequences.

Slide

Assess risks

Risk assessment matrix

Likelihood	Consequence			
	Major (eg death or disability)	Serious (eg serious injury or lost time)	Minor (eg first aid injury)	Insignificant (eg incident but no injury)
Very likely (and will almost certainly happen)	Extreme	High	High	Medium
Likely (and will probably happen at some time)	High	High	Medium	Medium
Unlikely (but could happen at some time)	High	Medium	Medium	Low
Very unlikely (and might happen only rarely)	Medium	Medium	Low	Low

COMPLETE ACTIVITY 30

Slide 168

Slide No

Trainer Notes

168.

Discuss & Activity

- Provide examples of risks using the matrix
- Complete Activity.

Slide

Assess risks

Acceptable risk

In terms of risk management, an acceptable risk is any risk which an organisation has determined to have the least potential for harm.

- What are examples of acceptable risks?



COMPLETE ACTIVITY 31

Slide 169

Slide No	Trainer Notes
169.	Discuss & Activity - Discuss question in slide - Complete Activity.

Slide

Assess risks

Risk management options

- Risk avoidance
- Retaining the risk
- Controlling the risk
- Transferring the risk
- Deferring the risk



COMPLETE ACTIVITY 32

Slide 170

Slide No	Trainer Notes
170.	Discuss & Activity • Provide examples of when to use each of the risk management options • Complete Activity.

Slide

Risk management policy

Develop risk management policy

Before the risk management plans themselves are prepared, it is important to establish policies that will be the foundation for risk management plans.

- What is a policy?

What types of policies would you implement in regards to:

- The construction of risk management plans?
- The inclusions in risk management plans?



COMPLETE ACTIVITY 33

Slide 171

Slide No	Trainer Notes
171.	Discuss & Activity • Discuss questions in the slide. • Refer to TM pages 149-150 for examples • Complete Activity.

Slide

Risk management plans

Develop risk management plans

A risk management plan is the logical culmination of all risk management planning activities.

- What is included in a risk management plan?



Slide 172

Slide No	Trainer Notes
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172.	
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Discuss

- Discuss question in the slide.

Slide

Risk management plans

Inclusions in risk management plans

- Sources of risks and risk events
- Analysis of risks
- Prioritised list of unacceptable risks
- Statement and description of the operational risks to be managed
- Preventative action to be taken
- Steps to eliminate unacceptable operational risks
- Details of identified risk control measures
- Treatment options selected



Slide 173

Slide No	Trainer Notes
173.	Discuss • Discuss these inclusions.

Slide

Risk management plans

Inclusions in risk management plans

- Descriptions of action to be taken
- Persons responsible for implementation
- Resources required
- Performance measures
- Timeframe for implementation
- Timetable for review of the plan
- Reporting requirements



Slide 174

Slide No	Trainer Notes
174.	Discuss • Discuss these inclusions.

Slide

Risk management plans

Inclusions in risk management plans

- All organisational policies and procedures
- Proof of insurance from suppliers
- Emergency procedures for the business

COMPLETE ACTIVITIES 34 & 35



Slide 175

Slide No	Trainer Notes
175.	Discuss & Activity • Discuss these inclusions • Complete Activity.

Slide

Implement risk management plan

Implementation requirements

To ensure staff are properly trained in relation to risk control and procedures you should implement a programme combining the following three elements:

- Information provision
- Resource provision
- Practical components



Slide 176

Slide No	Trainer Notes
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176.

Discuss

- What details need to be considered for each requirement?
- Refer to TM pages 153-156 for examples.

Slide

Develop contingency plans

Importance of contingency plans

Contingency plans need to be prepared for all situations where risk assessment procedures indicate a need to do so.

- What is the purpose of a contingency plan?
- What information is contained within a contingency plan?



Slide 177

Slide No	Trainer Notes
177.	Discuss • Discuss question in the slide.

Slide

Develop contingency plans

Importance of planning for unforeseen events

- To provide direction in the event of negative situations
- To mitigate negative outcomes
- To allow the business to continue, resume or recover normal business
- Because things do not always go as planned
- To address 'due diligence' requirements
- To protect the ongoing viability of the business
- To optimise business performance
- To provide you with a sense of security



Slide 178

Slide No	Trainer Notes
178.	Discuss • Discuss importance of these points.

Slide

Develop contingency plans

Contingency plans for 'positive' and 'negative' situations

Contingency plans can be developed to address:

- Positive situations
- Negative situations



Slide 179

Slide No	Trainer Notes
179.	Discuss • What are examples of both? • What contingencies can you put into place for both?

Slide

Develop contingency plans

Common contingencies to be addressed

- Faults and malfunctions
- Adverse weather conditions
- Changes to bookings
- Labour disputes
- Funding shortfalls
- Data loss
- Loss of a major client
- Power failure
- Loss or absence of key staff
- Death of customer



Slide 180

Slide No	Trainer Notes
180.	Discuss • What are examples of each? • Refer to TM Pages 157-158 for examples.

Slide

Develop contingency plans

Contents of a contingency plan

- Title of the plan
- Actions to take
- Conditions and circumstances for action
- Responsibilities for actions
- Timelines
- Resources
- Parameters
- Intended results



COMPLETE ACTIVITY 36

Slide 181

Slide No	Trainer Notes
181.	Discuss & Activity • What are examples of each section of a contingency plan? • Refer to TM Pages 159-161 for examples • Complete Activity.

Slide

Communicate risk management strategies

Communicate risk management strategies to stakeholders

Once the plan has been approved, all those impacted by or with responsibilities under the plan need to have the plan communicated to them.

- Who are 'stakeholders'?
- What needs to be communicated?
- How can information be communicated?



COMPLETE ACTIVITY 37

Slide 182

Slide No	Trainer Notes
182.	Discuss & Activity • Discuss question in the slide • Refer to TM Pages 162-163 for examples • Complete Activity.

Slide

Review risk management plans

Purpose of reviewing risk management plans

The keys in evaluating the risk management plan are to:

- Measure actual progress in the workplace against the requirements of the plan
- Determine and quantify the actual occurrences of risk in the workplace
- Projections and expectations identified in the development of the initial risk level assessment and treatment option for that risk
- Incorporate lessons learned
- Look to the future



Slide 183

Slide No	Trainer Notes
183.	Discuss • Discuss importance of these points.

Slide

Review risk management plans

Indicators requiring need for review

Possible indicators that unscheduled reviews are needed include:

- Obviously changed context for the business
- Changed strategic directions for the business
- Instances where those with responsibility are unable to fulfil their allocated duties
- Failure to adhere to plan parameters
- Significant workplace events
- Emergence of a new risk



Slide 184

Slide No	Trainer Notes
184.	Discuss Provide examples for the need for unscheduled reviews.

Slide

Review risk management plans

Methods to review risk management plans

- Personal observations
- Physical inspections
- Incident reports
- Results of inspections or audits by external authorities
- Distribution of questionnaires
- Interviews with stakeholders
- Regular reviews of risk treatment procedures
- Use of an external risk management professionals



Slide 185

Slide No	Trainer Notes
185.	Discuss • What information can be gathered from each of these methods? • Which methods would you use and why?

Slide

Review risk management plans

Actions to be taken

- What actions to be taken as a result of reviewing performance?
- What are 'post risk event' reviews?



COMPLETE ACTIVITY 38

Slide 186

Slide No	Trainer Notes
186.	Discuss & Activity - Discuss question in the slide - Refer to TM Pages 166-167 for examples - Complete Activity.

Recommended training equipment

Business plan templates and examples

Business strategies templates and examples

Brochures

Computer access

Contingency plans

Core business concept

Corporate goals

Customer feedback documentation

Financial documents and budgets

Industry statistics and trends

Internet access

Job descriptions for travel and tourism positions

Key Performance Indicators

Legal requirements for your country on a travel and tourism organisation

Marketing and promotional plans and strategies

Mission Statement

Objectives

Service audits

SWOT Analysis template and examples

Risk management policies

Risk management plans

Vision and values statement

Instructions for Trainers for using PowerPoint – Presenter View

Connect your laptop or computer to your projector equipment as per manufacturers' instructions.

In PowerPoint, on the **Slide Show** menu, click **Set up Show**.

Under Multiple monitors, select the Show Presenter View check box.

In the **Display slide show** on list, click the monitor you want the slide show presentation to appear on.

Source: <http://office.microsoft.com>

Note:

In Presenter View:

You see your notes and have full control of the presentation

Your trainees only see the slide projected on to the screen

More Information

You can obtain more information on how to use PowerPoint from the Microsoft Online Help Centre, available at:

<http://office.microsoft.com/training/training.aspx?AssetID=RC011298761033>

Note Regarding Currency of URLs

Please note that where references have been made to URLs in these training resources trainers will need to verify that the resource or document referred to is still current on the internet. Trainers should endeavour, where possible, to source similar alternative examples of material where it is found that either the website or the document in question is no longer available online.

Appendix – ASEAN acronyms

AADCP	ASEAN – Australia Development Cooperation Program
ACCSTP	ASEAN Common Competency Standards for Tourism Professionals
AEC	ASEAN Economic Community
AMS	ASEAN Member States
ASEAN	Association of Southeast Asian Nations
ASEC	ASEAN Secretariat
ATM	ASEAN Tourism Ministers
ATPMC	ASEAN Tourism Professionals Monitoring Committee
ATPRS	ASEAN Tourism Professional Registration System
ATFTMD	ASEAN Task Force on Tourism Manpower Development
CATC	Common ASEAN Tourism Curriculum
MRA	Mutual Recognition Arrangement
MTCO	Mekong Tourism Coordinating office
NTO	National Tourism Organisation
NTPB	National Tourism Professional Board
RQFSRS	Regional Qualifications Framework and Skills Recognition System
TPCB	Tourism Professional Certification Board

